



UNIVERSITY *of* NICOSIA

Session:

Tokenization and Stablecoins

12 Week Schedule

We are here



Session	Session Name	Professor
1	Introduction to Blockchain and Web3	George Giaglis
2	Bitcoin and Digital Money	Garrick Hileman
3	Ethereum and Programmable Blockchains	Apostolos Kourtis
4	Digital Wallet Security and Privacy	Charles Guillemet (Ledger)
5	Decentralized Finance (DeFi)	Lambis Dionysopoulos
6	Prediction Markets	Apostolos Kourtis & Lambis Dionysopoulos
7	The Geopolitics of Cryptocurrency	Garrick Hileman
8	Tokenization and Stablecoins	Lambis Dionysopoulos & Lauren Berta (Ripple)
Advanced Track & MSc Students		
9	NFTs and Digital Ownership	Punk6529 & Mohsen El-Sayed (Ledger)
10	Regulation and Policy of Digital Assets	Jeff Bandman
11	Advanced Topics in Web3	Apostolos Kourtis
12	The Future: Convergence of Blockchain, AI, and IoT	George Giaglis

Agenda

1. Introduction to tokenization
2. Stablecoins
3. Stablecoin Classification
4. Central Bank Digital Currencies (CBDCs)
5. Conclusions
6. Further Reading

Session objectives

- Understand the concept of tokenization and how it brings traditional assets on-chain.
- Learn the process of creating on-chain representations of assets through custodians.
- Explore the potential benefits of tokenization, such as liquidity, accessibility, and transparency.
- Analyze the challenges and risks of tokenization, including centralization and liquidity risks.
- Investigate the spectrum of tokenization from off-chain assets to fully on-chain enforcement.
- Examine real-world examples of tokenization, and their potential

Session: Tokenization and Stablecoins

1. Introduction to Tokenization

Tokenization is bringing traditional assets on-chain

Tokenization refers to **the process of creating on-chain representations of real or financial assets that are not traditionally issued on-chain**. While any asset can theoretically be tokenized, USD-backed tokens remain the most common example.

It (usually) works as follows:

1. A custodian gains control of the real or financial asset to be tokenized.
2. The custodian creates an **on-chain representation of the asset on a blockchain**, either as a fungible token or a non-fungible token (NFT).
3. In cases of non-fractional ownership, the custodian may commit to redeeming the token for the underlying asset at a set exchange rate (often 1:1, but this is not a fixed rule).
4. Custodians typically charge fees for their services.
5. The market between the custodian and the token holder is considered the primary market, while secondary markets exist for token holders to trade their tokens with others.

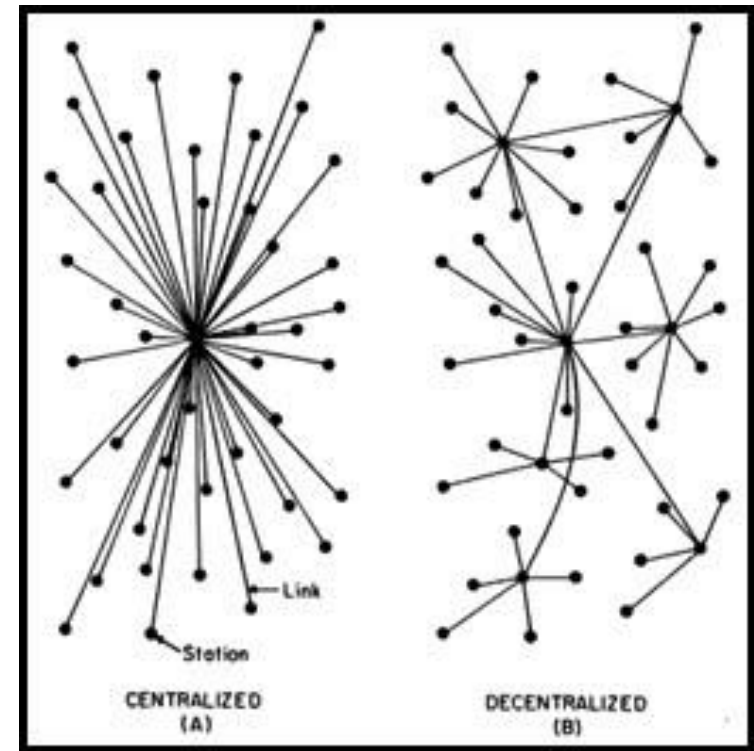
This is a **rough representation** of how tokenization works. Each market has its own conventions.

Potential benefits of tokenization

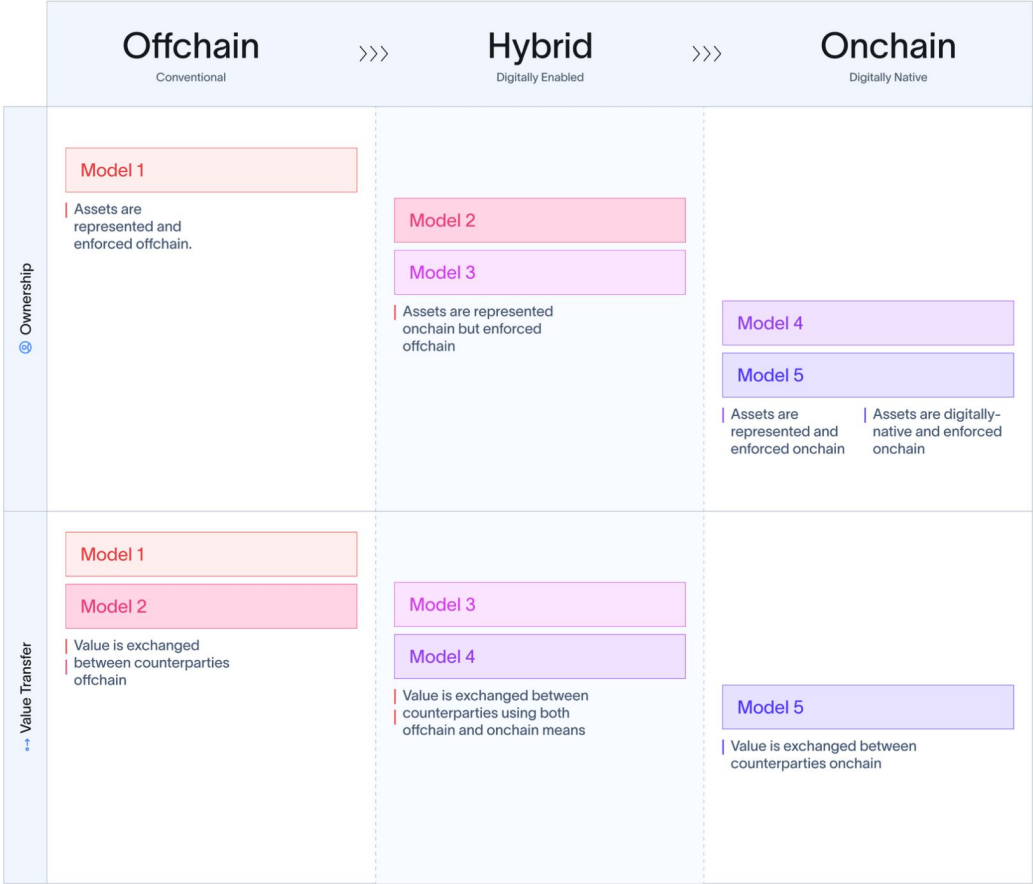
- **Liquidity:** Tokenizing traditionally illiquid assets (e.g., real estate, art) can create new, global liquid markets, making it easier to trade and access them.
- **Accessibility:** Tokenization allows for fractional ownership, enabling smaller investors to participate in high-value markets, such as luxury real estate or private equity.
- **Transparency:** Blockchains are immutable and ensure transparent record-keeping, potentially reducing fraud and improving trust in ownership and transaction history.
- **Programmability:** Assets can be embedded with rules or conditions through smart contracts, enabling automated, real-time compliance, and reducing administrative overhead.
- **Efficiency:** Automating processes through smart contracts reduces intermediaries and accelerates traditionally slow transactions, lowering costs and increasing speed.
- **Composability:** Tokenized assets could integrate into other DeFi protocols, allowing for the creation of new financial services and products.
- **Global Reach:** Blockchain's borderless nature means tokenized assets can be accessed and traded globally, expanding the investor base and removing geographical barriers.
- **Fractional Ownership:** An asset (such as real estate or art.) can be divided into smaller, tradable digital tokens, allowing multiple investors to own portions of a high-value asset, thus creating new markets.

Potential pitfalls of tokenization

- **Centralization:** Despite the goal of decentralization, tokenized assets rely on custodians or other intermediaries for off-chain management, introducing risks tied to trust and centralization.
- **Liquidity Risks:** While tokenization aims to create liquidity, some markets may lack enough buyers, leaving token holders unable to sell or forcing them to accept lower prices.
- **Market Fragmentation:** Multiple tokenization platforms with different standards can lead to fragmented markets, reducing liquidity and interoperability across ecosystems.
- **Regulatory Uncertainty:** Tokenized assets face complex and varying regulations across jurisdictions, leading to compliance risks and legal challenges.
- **Valuation Complexities:** Accurately valuing tokenized assets, particularly non-standard or illiquid ones, can be difficult, leading to price volatility and potential mispricing.



The spectrum of tokenization (1/2)



Source: [RWA.xyz - The Spectrum of Tokenization](#)

The spectrum of tokenization (2/2)

- **M1:** Currently most assets reside entirely off-chain, managed through traditional systems (e.g., real estate deeds, paper-based ownership). There is no digital representation of the asset or its ownership on a blockchain.
- **M2 On-chain Representation:** Assets are represented on a blockchain, but ownership rights and transactions are still handled off-chain. For example, a token may reflect an asset like real estate, but legal ownership transfers remain off-chain, and the blockchain merely serves as a reference point.
- **M3 On-chain Integration:** Certain aspects of asset ownership and transfer are moved on-chain, such as using blockchain for record-keeping or transaction settlement. However, key components like legal enforcement or some ownership rights still exist off-chain.
- **M4 On-chain Enforcement:** Tokens represent legally recognized bearer assets, where ownership and rights are enforced on-chain. For instance, tokenized assets may be legally recognized, and ownership can be transferred directly via blockchain transactions with minimal off-chain involvement.
- **M5 Fully on-chain:** All activities, including ownership, legal recognition, value transfers, and enforcement, are conducted entirely on-chain. The asset and its entire lifecycle, from transfer to enforcement of rights, exist only on the blockchain, with no reliance on off-chain mechanisms.

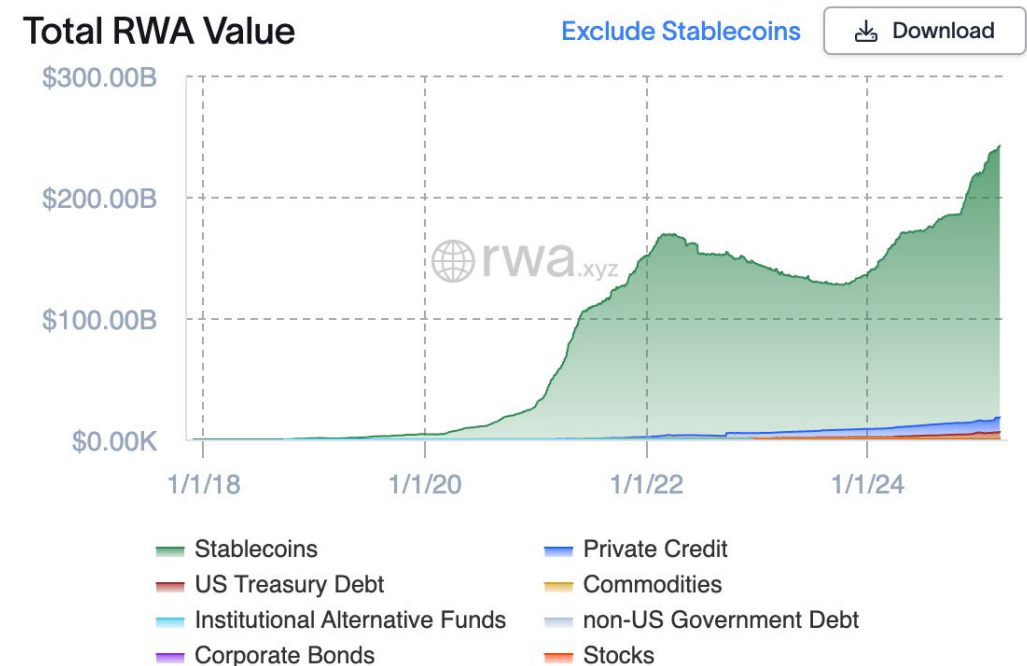
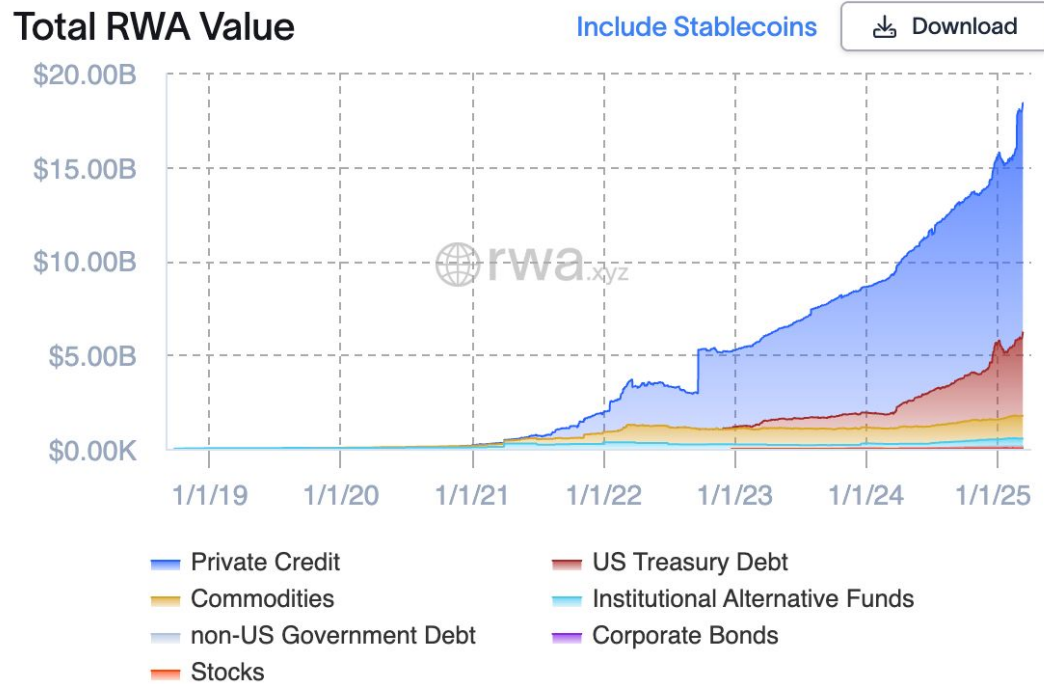
Source: [RWA.xyz - The Spectrum of Tokenization](#)

Trends in tokenization

- Tokenized assets are projected to reach between \$2 trillion and \$24 trillion by 2027. Real estate alone could see \$3.2 trillion in tokenized home equity by 2030.
- Government and corporate bonds, Private equity, private debt, collectibles, and luxury real estate , and commodities are lead tokenization trends
- Major asset managers like BlackRock, Fidelity, and Franklin Templeton are exploring tokenization
- Currently, BlackRock's BUIDL Fund is the largest tokenized treasury fund, and surpassses Franklin Templeton's similar offering.
- The fund provides a yield, on tokens price at \$1 each, and is aimed at institutional investors only (permissioned)

Source: [McKinsey](#)

RWA in numbers (1/3)



Source: [Dune Analytics](#)

RWA in numbers (2/3)

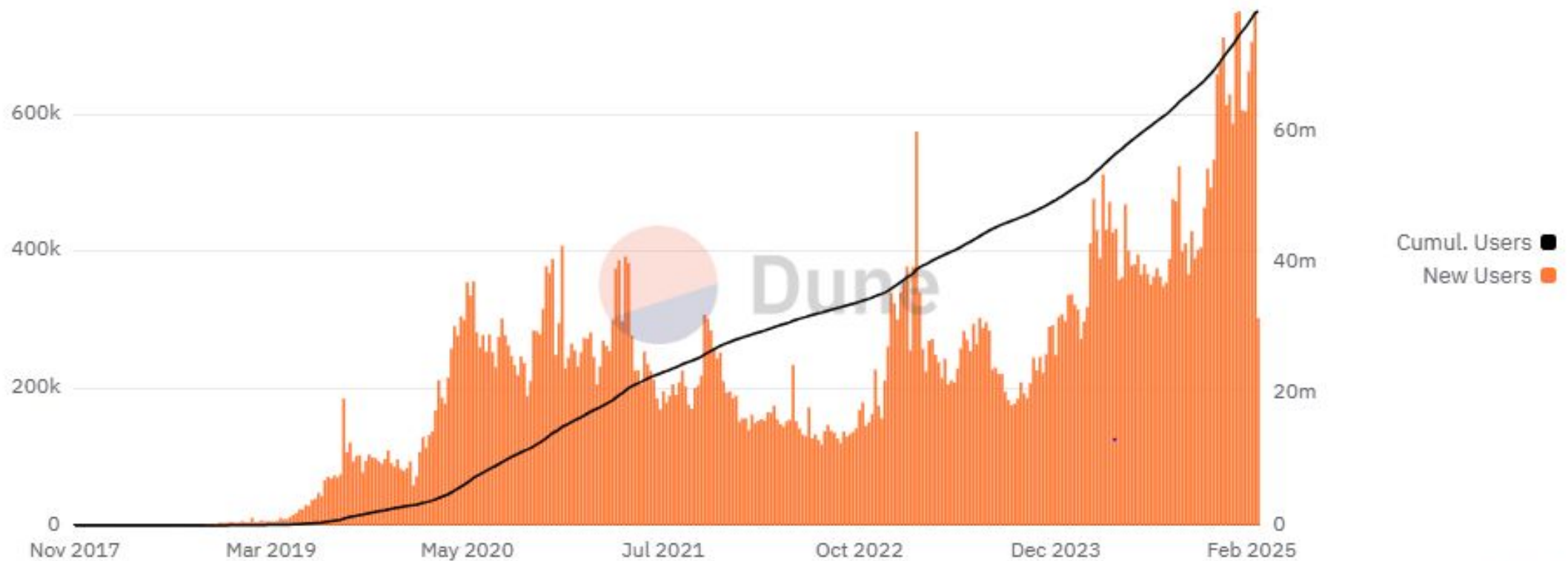
Number of Cumulative Users that have held Tokenized Assets - by Type of Asset



Source: [Dune Analytics](#)

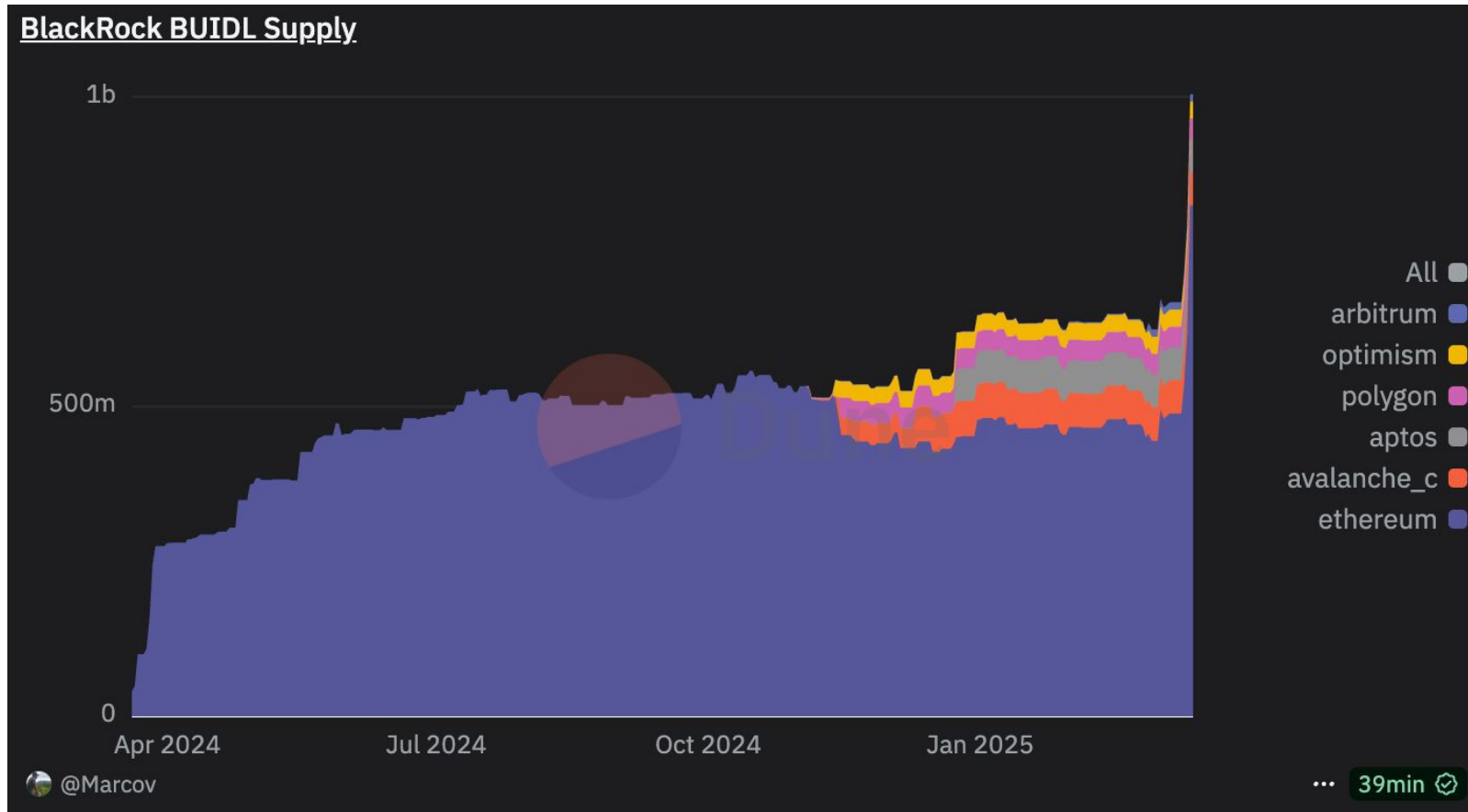
RWA in numbers (3/3)

Number of users that are currently holding or previously held a tokenized asset



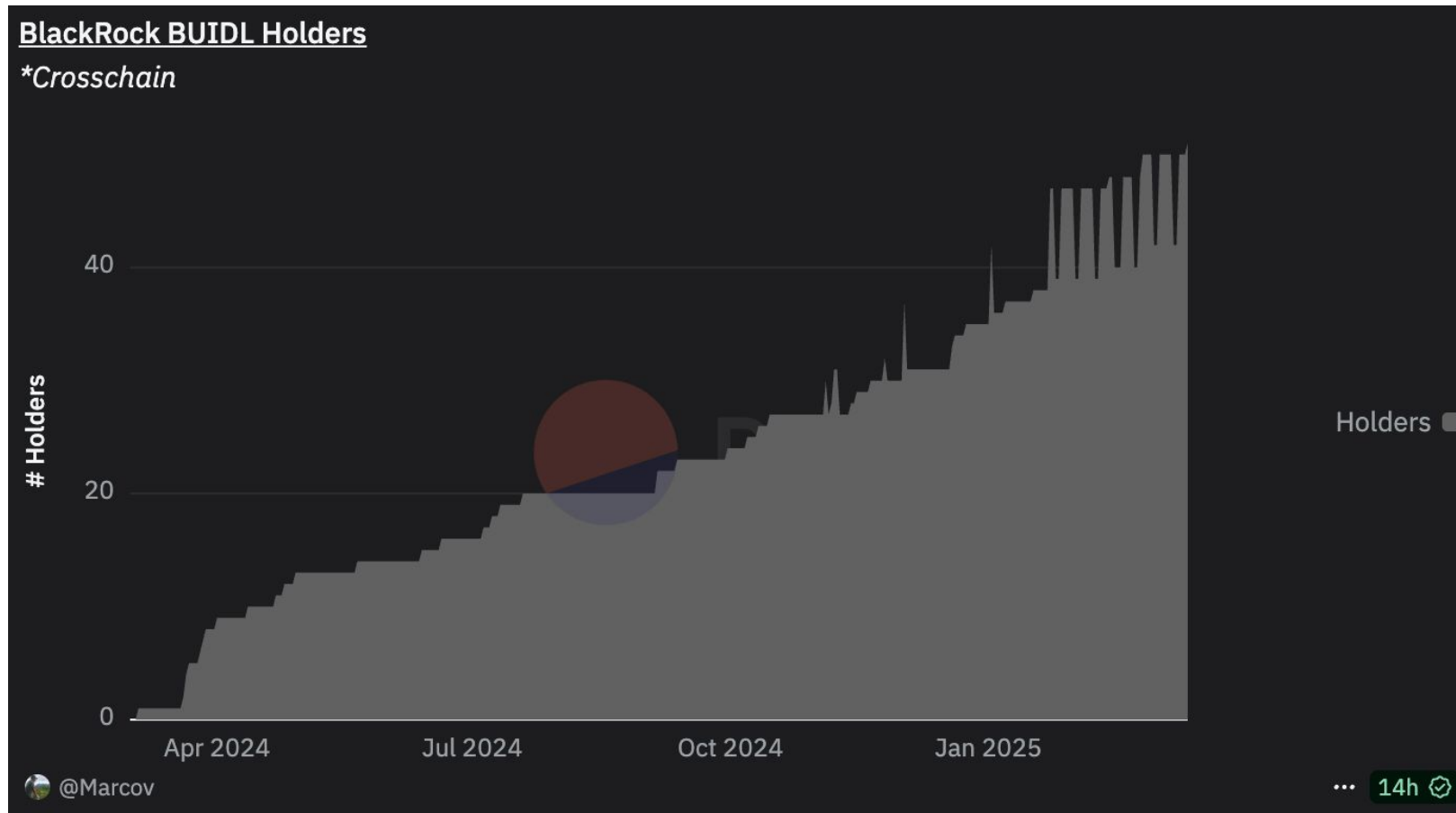
Source: [Dune Analytics](#)

Blackrock's BUIDL fund in numbers (1/2)



Source: [Dune Analytics](#)

Blackrock's BUIDL fund in numbers (2/2)



Source: [Dune Analytics](#)

Interesting read

- Crypto has designs on real estate, by the FT:
- <https://on.ft.com/3BLjwMa>
- You can use this website to access the article:
- <https://archive.is/>
- Simply put the ft link in the search bar



Source: [McKinsey](#)

Session: Tokenization and Stablecoins

2. Stablecoins

Cryptocurrencies are not always “good money” (1/2)

Good money acts as a good:

- **Medium of Exchange:** Facilitates trade by being widely accepted in exchange for goods and services, eliminating the need for barter.
- **Unit of Account:** Serves as a common reference for valuing goods and services, simplifying price comparison and economic calculation.
- **Store of Value:** Preserves purchasing power over time, enabling saving and deferring consumption.

Cryptocurrencies are not always “good money” (2/2)

The three functions **rely on the stability and general acceptability of money**.

Cryptocurrencies are arguably not good money due to their exchange rate volatility. That is despite having **other desirable properties of money**. Those include:

- **Durability:** Not subject to physical wear and tear, ensuring longevity.
- **Transportability:** Easily transferable across borders electronically, offering convenience.
- **Divisibility:** Can be split into smaller units for micro-transactions, increasing utility.
- **Fungibility:** Each unit is interchangeable, maintaining consistency in transactions.
- **Resistance to Counterfeiting:** Uses advanced cryptographic security, reducing fraud risk.

Stablecoins aim to provide the best of both worlds, by creating a cryptocurrency that is also stable.

Why are most stablecoins denominated in USD?

There is no such thing as a **universally accepted measure of “stability”**

- The USD, while not perfectly stable, is widely regarded as "stable enough" due to its global acceptance and relative economic strength.
- Technologically, stablecoins are capable of pegging to various targets including other fiat currencies, physical assets, baskets of assets, or even self-defined benchmarks.
- This flexibility allows stablecoins to act as blockchain-based derivatives, offering diversified financial instruments and hedging opportunities in digital finance.
- The choice of the USD as a peg is largely driven by its dominant role in international trade and finance, underpinning its perceived stability and reliability.



Economics Letters
Volume 244, November 2024, 111939



10 years of stablecoins: Their impact, what we know, and future research directions ☆

Lambis Dionysopoulos^a ✉, Andrew Urquhart^b ✉

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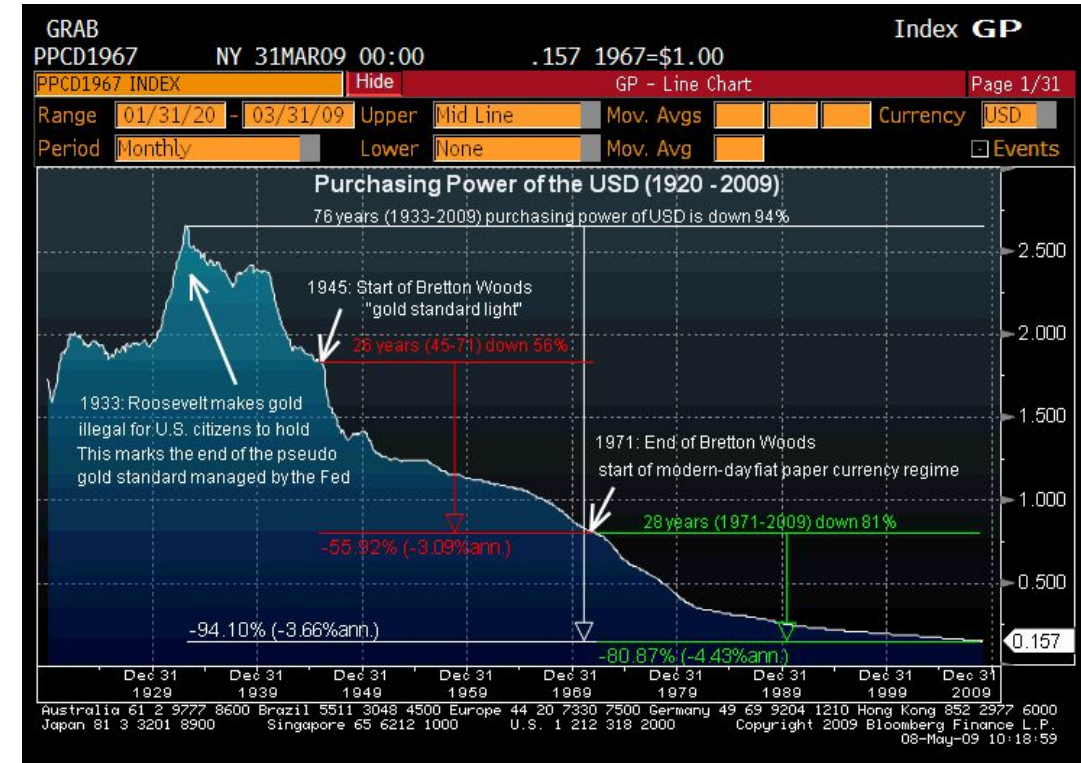
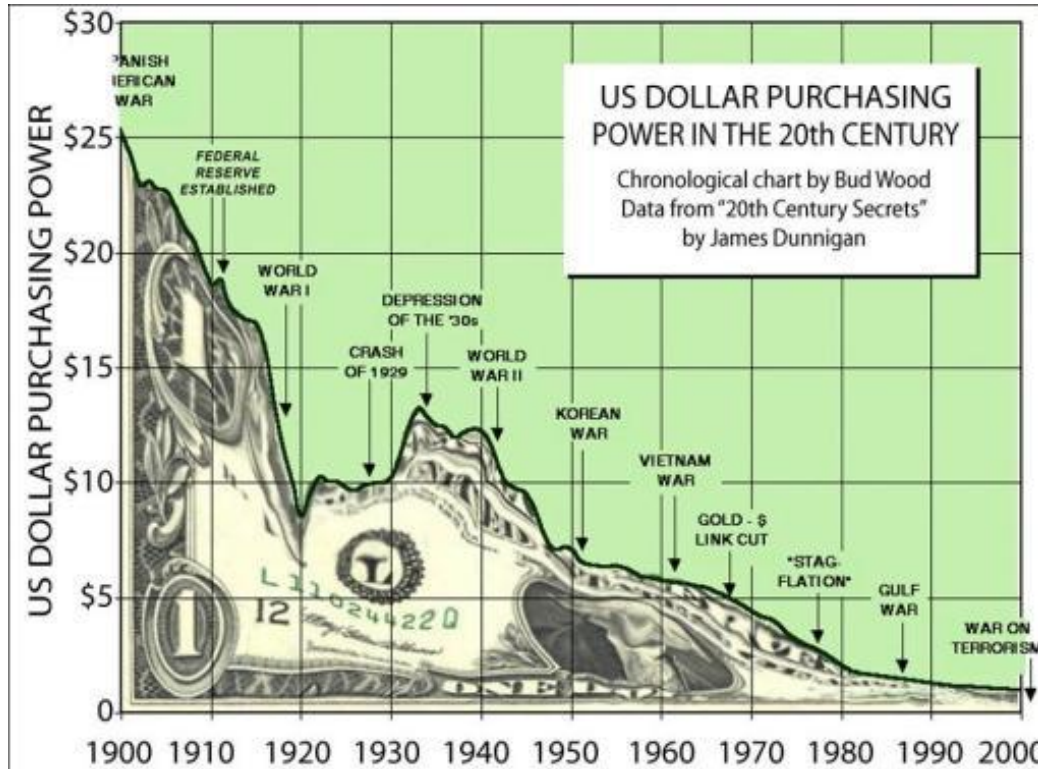
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<https://doi.org/10.1016/j.econlet.2024.111939>

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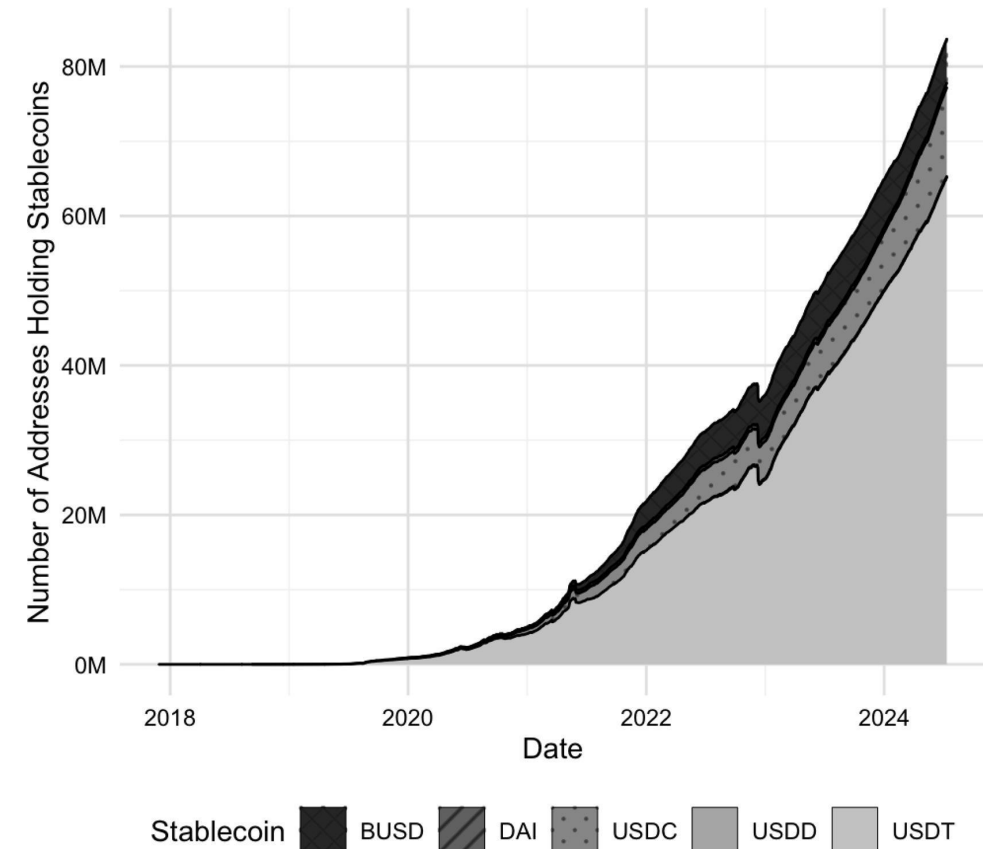
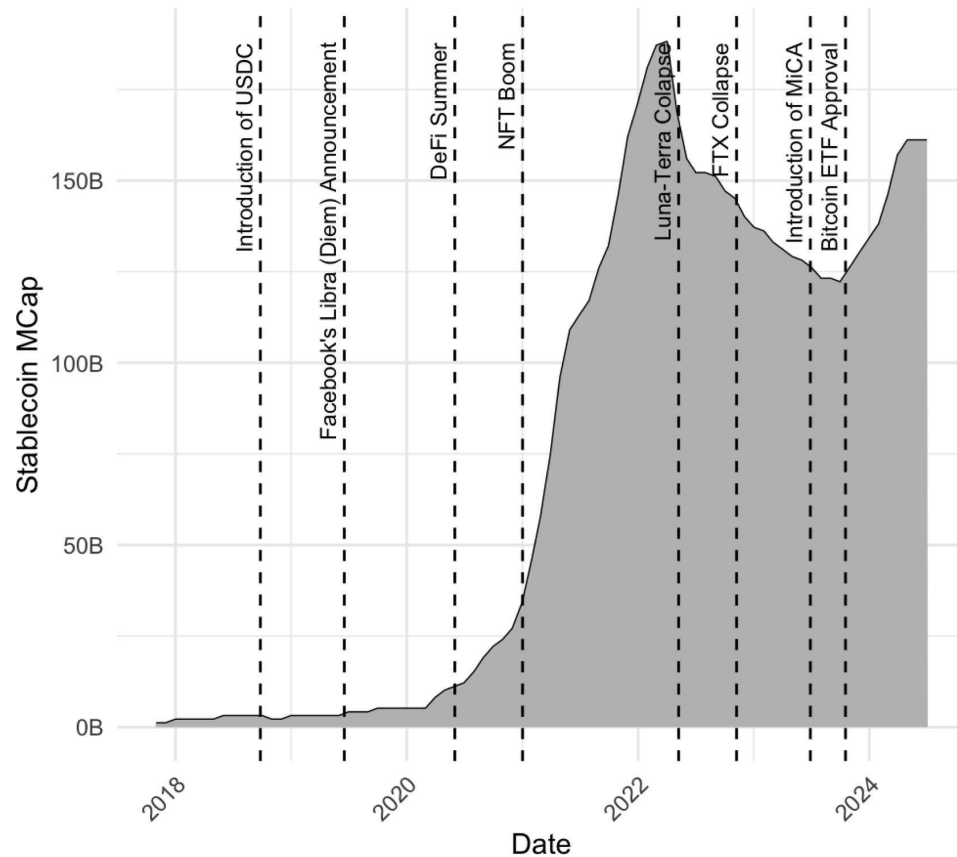


The “instability” of the USD

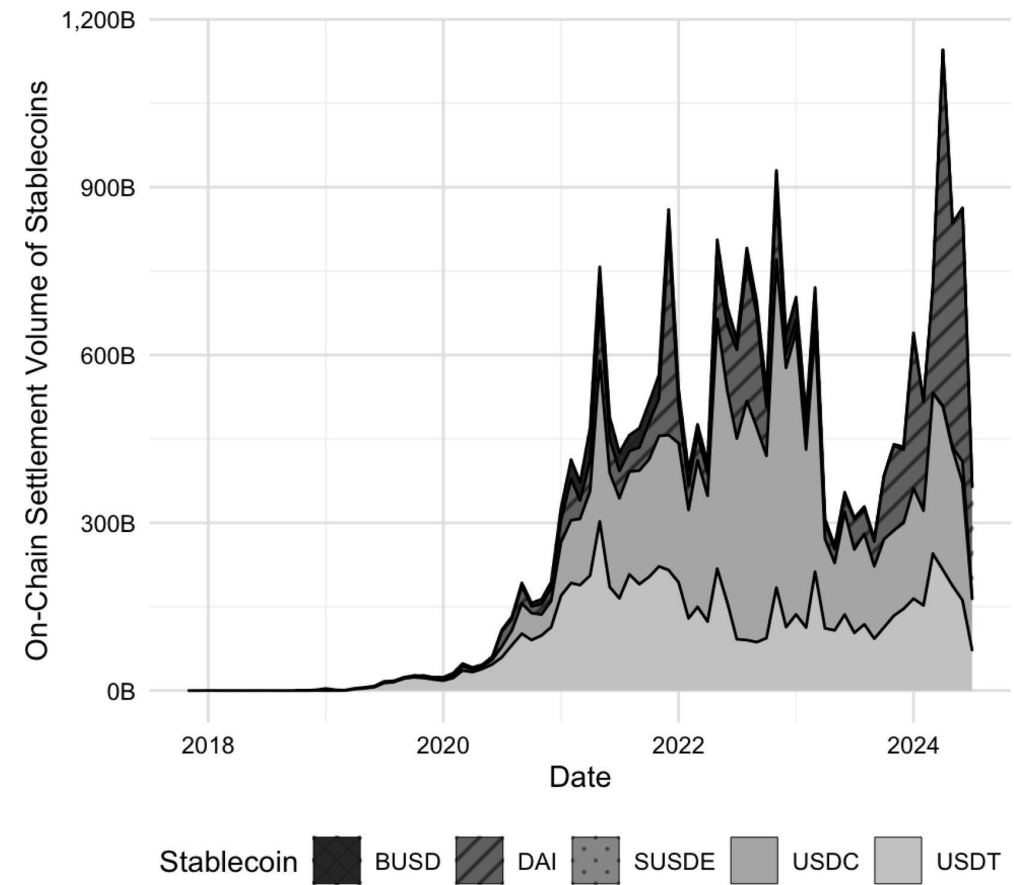
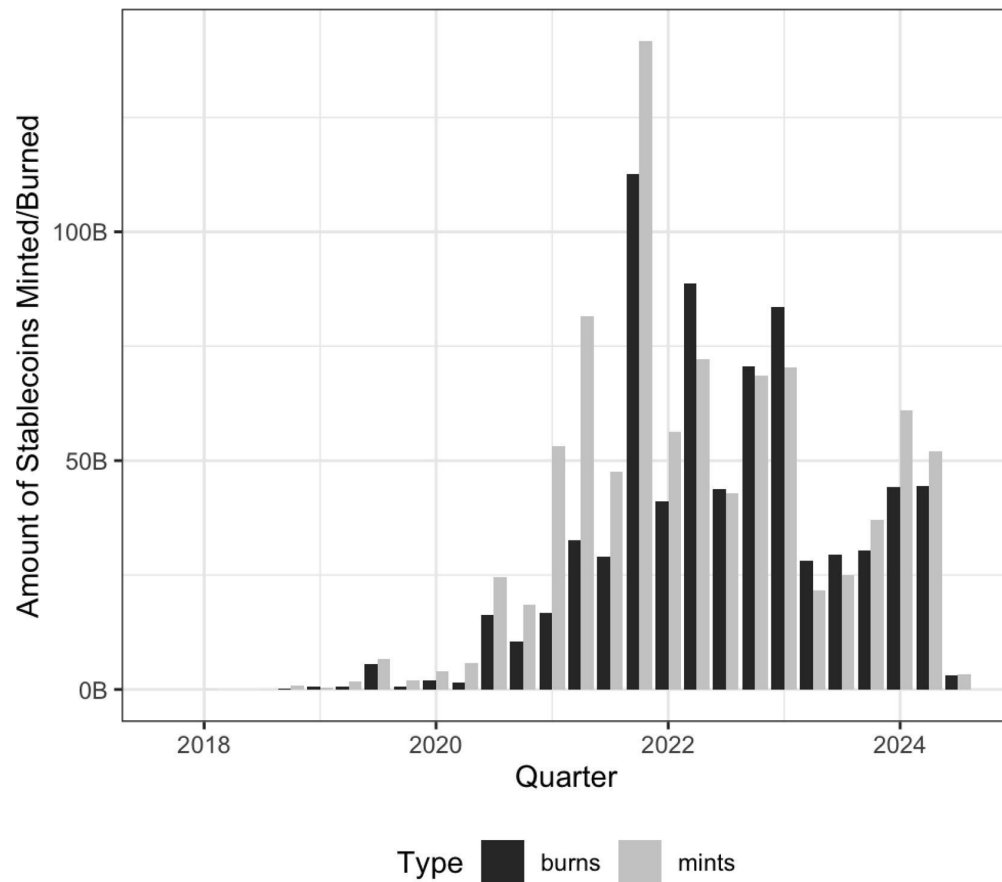


<https://seekingalpha.com/article/137051-the-dollars-20th-century-decline>

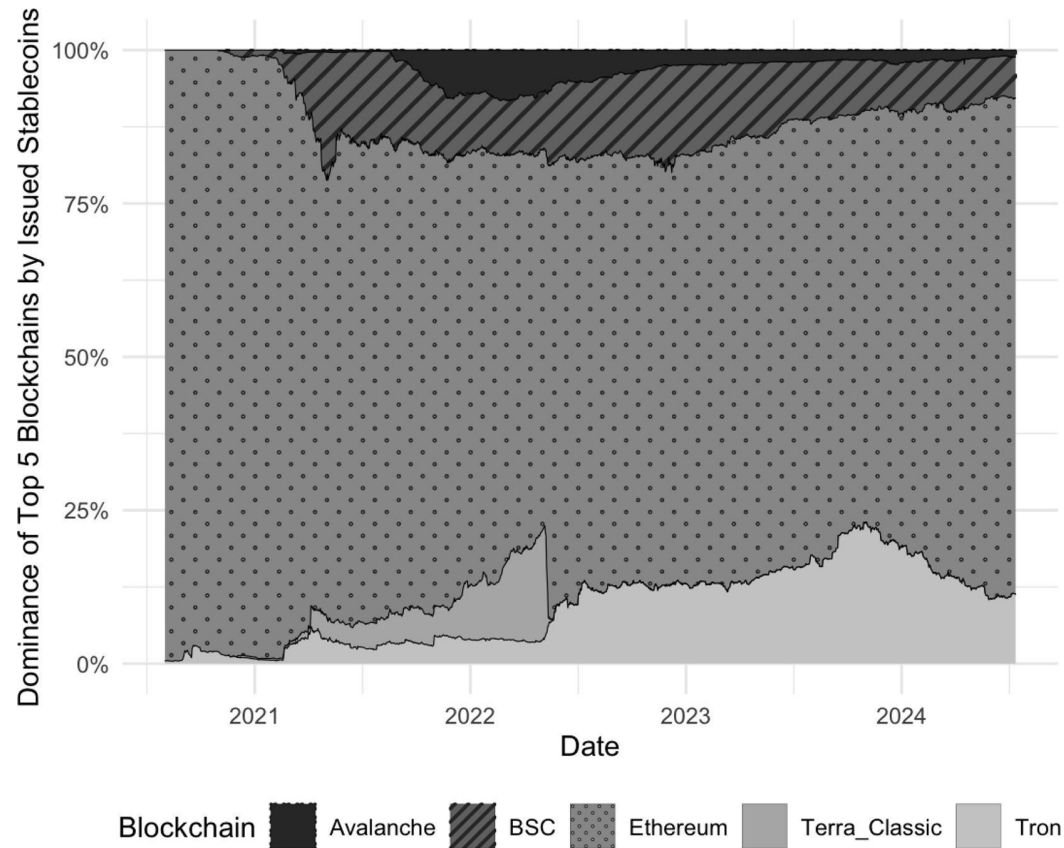
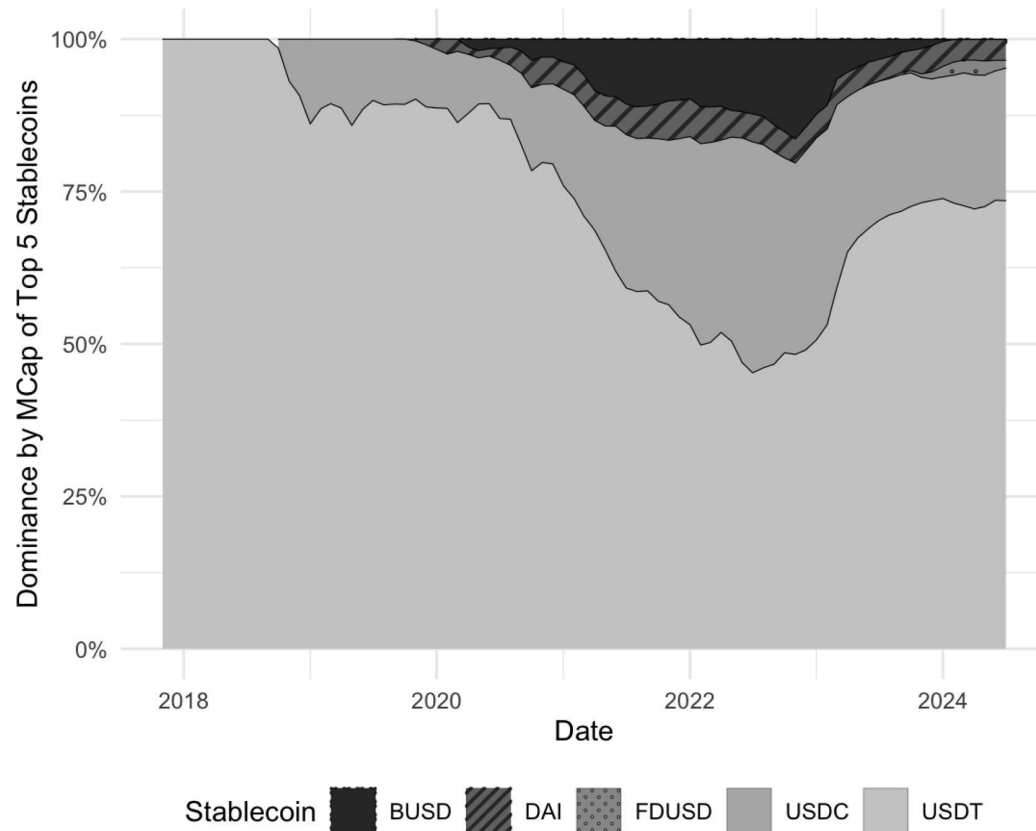
Stablecoins have experienced explosive growth (1/2)



Stablecoins have experienced explosive growth (2/2)



They are also extremely centralized



Session: Tokenization and Stablecoins

3. Stablecoin Classification

The different types of stablecoins (1/3)

Stablecoins are categorized based on:

Their degree of reliance on custodians for their operation, into centralized (custodian) or decentralized (non-custodian):

- **Centralized stablecoins** are managed by an entity (which can be regulated) but introducing central point of failure risks.
- **Decentralized stablecoins** operate without a central authority but may face regulatory challenges.

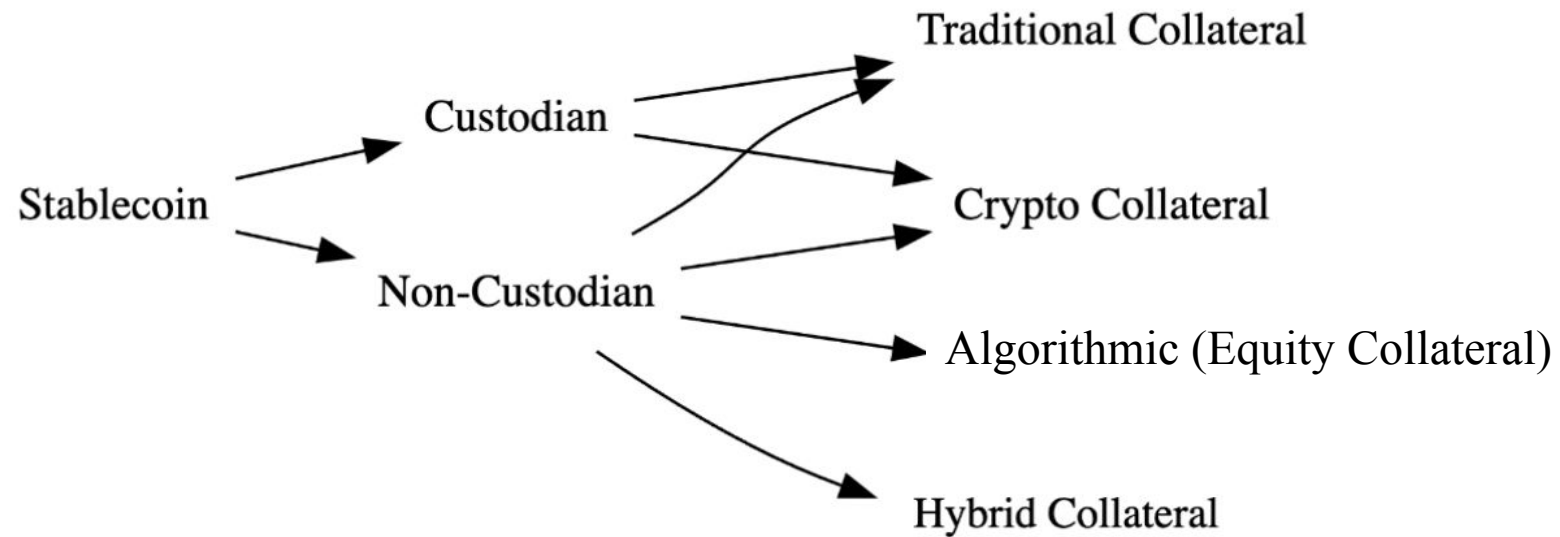
The different types of stablecoins (2/3)

Stablecoins are categorized based on:

On how they maintain price stability: utilizing traditional financial assets as collateral, crypto collateral, algorithmic methods, or hybrid approaches:

- **Exogenous Collateral:** Backed by real-world assets like fiat currencies or commodities, offering more stability but at the cost of centralization. This collateral can also be tokenized and on-chain.
- **Endogenous Collateral:** Utilizes other cryptocurrencies as collateral, often favoured for greater decentralization but can face capital efficiency challenges.
- **Algorithmic Stablecoins:** Rely on algorithms to regulate supply and demand, aiming for capital efficiency and decentralization, but with potential stability risks. As we will see, they are essentially backed by equity in their ecosystem.

The different types of stablecoins (3/3)



The example of Tether

Fully collateralized stablecoins aim to maintain a stable value **by backing each token with real-world assets**, such as USD, held in reserves. These reserves ensure that each stablecoin can be redeemed for an equivalent amount of the underlying asset.

This collateral type is called exogenous collateral, as it is not a native blockchain asset.

Benefits and drawbacks:

- Simple and direct method to maintain stability against the USD.
- As a centralized system, it requires users to trust that Tether holds sufficient reserves and will fulfill redemption requests.

USDT creation and management process:

1. **Deposit:** Bob deposits 1 USD into Tether's bank account.
2. **Minting:** In response, Tether mints and sends 1 USDT to Bob's address.
3. **Redemption:** Bob can exchange 1 USDT back for 1 USD at any time.



The example of DAI

DAI is an on-chain collateralized stablecoin, primarily backed by **Ether (ETH)** and other digital assets. Its issuance is managed by **sky.money** (formerly MakerDAO), a Decentralized Autonomous Organization (DAO) that oversees the protocol. This type of stablecoin uses endogenous collateral, meaning it is backed by cryptocurrencies native to the blockchain ecosystem.

Benefits and Drawbacks

- DAI's decentralized, overcollateralized model ensures stability without relying on a centralized entity.
- However, overcollateralization can be inefficient, requiring users to lock in significantly more value than the DAI they borrow.
- Some borrowers mint DAI to gain leverage (e.g., borrowing DAI to buy more crypto), creating supply, while others hold DAI as a stable asset, reducing its circulating supply.

DAI creation and management process

1. Borrowing into Existence: Users, like Alice, deposit a higher value of ETH (e.g., \$150 worth) into a MakerDAO vault (a smart contract).
2. Minting DAI: Alice can mint up to \$100 worth of DAI (100 DAI), effectively borrowing against her ETH collateral.
3. Collateral Retrieval: Alice can reclaim her ETH collateral by repaying the 100 DAI at any time.
4. Collateral Liquidation: If the value of the ETH collateral drops below a certain threshold, a portion of it is liquidated to maintain DAI's stability.



Mismatched demand for leverage vs. holding

Pre-March 2020:

- **High leverage demand:** Many users minted DAI (by locking ETH) to speculate on rising crypto prices.
- **Low holding demand:** Fewer users wanted to hold DAI long-term, so the peg held steady.

Black Thursday (March 2020):

- **Crypto prices crashed:** ETH dropped ~50% in a day. Borrowers faced liquidation as their collateral value fell.
- **Demand for DAI surged:** Panic drove demand from holders seeking a safe haven and borrowers needing DAI to repay loans and avoid liquidation.



The supply crunch and peg break

- The supply of DAI depended on borrowers minting it by locking up collateral (e.g., ETH). When ETH crashed, **minting new DAI became difficult**, leading to a supply shortage.
- As DAI became scarce, both holders seeking safety and borrowers needing to repay loans **drove up demand**, causing the price to rise above the \$1 peg.
- **Why This Broke the Peg:**
 - **Upward peg breaks are rare:** Most stablecoins depeg below \$1 due to insolvency or panic. In DAI's case, demand surged beyond supply, causing the price to spike above \$1—an unusual upward break.
 - **DAI became a "hot potato":** Everyone wanted it, but supply was constrained by limited crypto collateral (ETH value crashed) and borrowers couldn't mint more DAI due to risk of further liquidations.

System Design Flaw: DAI's supply was tied to volatile collateral and speculative leverage demand, not organic demand for the stablecoin itself.

Algorithmic stablecoins (1/3)

Algorithmic stablecoins rely on arbitrage within a two-token system: a stablecoin and an equity-like token. The equity token is not a stablecoin, and its value fluctuates freely.

- Holders can always exchange (remove from circulation) \$1 worth of the equity token to create 1 unit of stablecoin, and vice versa.
- When the stablecoin is **at peg** (\$1), nothing happens.

Algorithmic stablecoins (2/3)

If stablecoin price rises above peg (e.g., \$1.1):

- Users exchange (remove from circulation) \$1 worth of equity token for 1 newly created unit of stablecoin.
- They can then sell the stablecoin for \$1.1, profiting from the \$0.1 difference.
- This arbitrage increases supply, driving the price back down towards the peg.

If stablecoin price falls below peg (e.g., \$0.9):

- Users can exchange (remove from circulation) 1 unit of stablecoin for \$1 worth of equity.
- By doing so, the profit the \$0.1 difference
- Removing the stablecoin from circulation decreases supply, pushing the price back up towards the peg.
- In the process, the price of the equity token also rises.
- This mechanism makes the equity token more desirable the higher the utility of, and demand for the stablecoin.
- The equity token is essentially a bet on the utility of the stablecoin, and its ecosystem
- This mechanism continues to work, so long as users believe that the stablecoin and equity token will retain some value.

Algorithmic stablecoins (3/3)

Read this case study on the collapse of UST:

- UST, an algorithmic stablecoin of the Terra (Luna) ecosystem, lost its 1:1 peg to the US dollar. This depegging triggered a loss of confidence among investors, leading to a massive sell-off.
- As UST's value fell, the protocol began minting excessive amounts of Luna to buy back and burn UST to restore its peg. This excessive minting drastically inflated Luna's supply, causing its price to collapse.
- The rapid devaluation of both UST and Luna created a downward spiral. Investors' rush to exit caused further devaluation, leading to a collapse of the Terra ecosystem.

<https://lambisdion.medium.com/post-mortem-the-death-of-luna-terrausd-simply-explained-177e0612fb7e>

Post Mortem: The death of LUNA & TerraUSD, Explained Simply



Lambis Dionysopoulos · Follow

6 min read · May 13, 2022



137



1



This article will provide you with all the necessary knowledge to understand what happened with LUNA and UST. All you need is the patience to sit through ≈1,000 words. Ready? Set? ...Go!

What is UST?

UST is (was) a stablecoin of the Terra ecosystem. Stablecoins aim to address the volatility of cryptocurrencies and provide a blockchain-native unit of account by pegging their price to some other asset(s) such as the US dollar. At the same time, they maintain most desirable properties of non-stable cryptocurrencies, such as openness and borderless transactions. Cryptocurrencies are deployed atop blockchains, and Terra is the underlying blockchain of UST.

Session: Tokenization and Stablecoins

4. Central Bank Digital Currencies (CBDCs)

Defining CBDCs

CBDCs are a new form of digital central bank money to address contemporary issues in our economies.

- **Retail CBDCs:** Available to domestic consumers and households as digital equivalents of cash
- **Wholesale CBDCs:** Available to banks and appointed institutions for intrabank/settlement functions
- **Universal CBDCs:** Available to the foreign sector too

CBDCs do not seem to occupy a unique role in the financial system

Feature	Deposits	eMoney	Crypto	P. Metals	Cash	Reserves	CBDC
Medium of Exchange	✓	✓	✗	✗	✓	✗	✓
Store of Value	✗	✗	✗	✓	✗	✓	?
Unit of Account	✓	✓	✗	✗	✓	✗	✓
Status	D	D	D	P	P	D	D
Convertibility	✓	?	✗	✗	N/A	✓	?
Issuer	CM	PS	N/A, PS	N/A	CB	CB	CB
Access	A	A	T, A	T	T	A	T, A
Availability	R	W, R, U	W, R, U	W, R, U	W, R, U	W	W, R, U

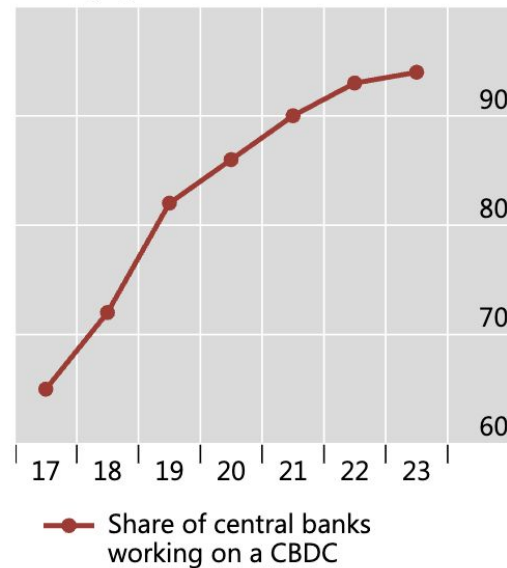
Virtually every central bank is engaged in CBDC work

Central bank involvement in CBDC work advances further¹

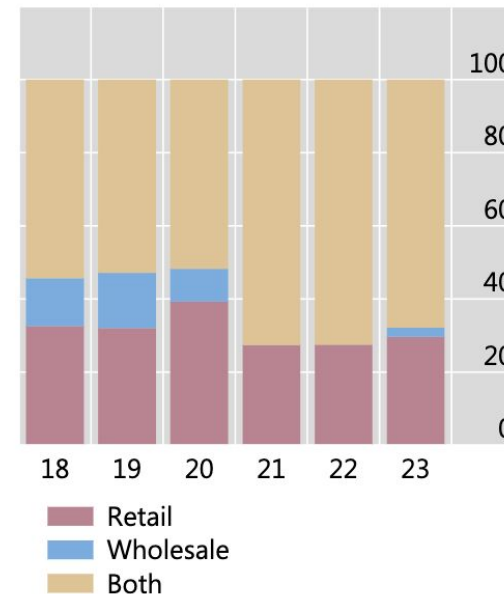
As a percentage of respondents

Graph 2

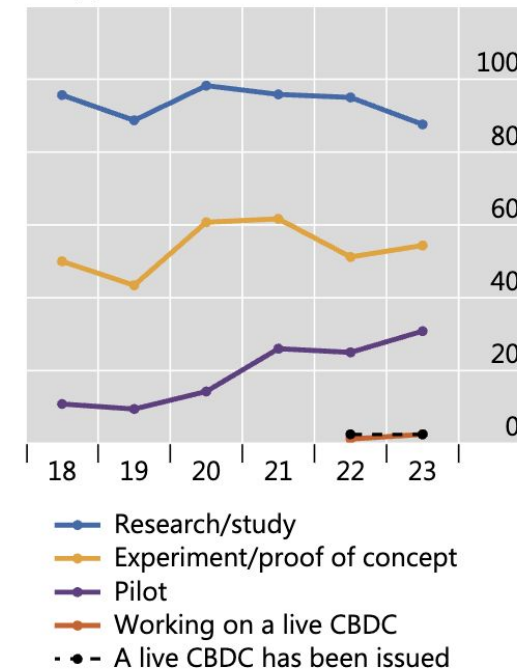
A. Engagement in CBDC work



B. Focus of work²



C. Type of work²

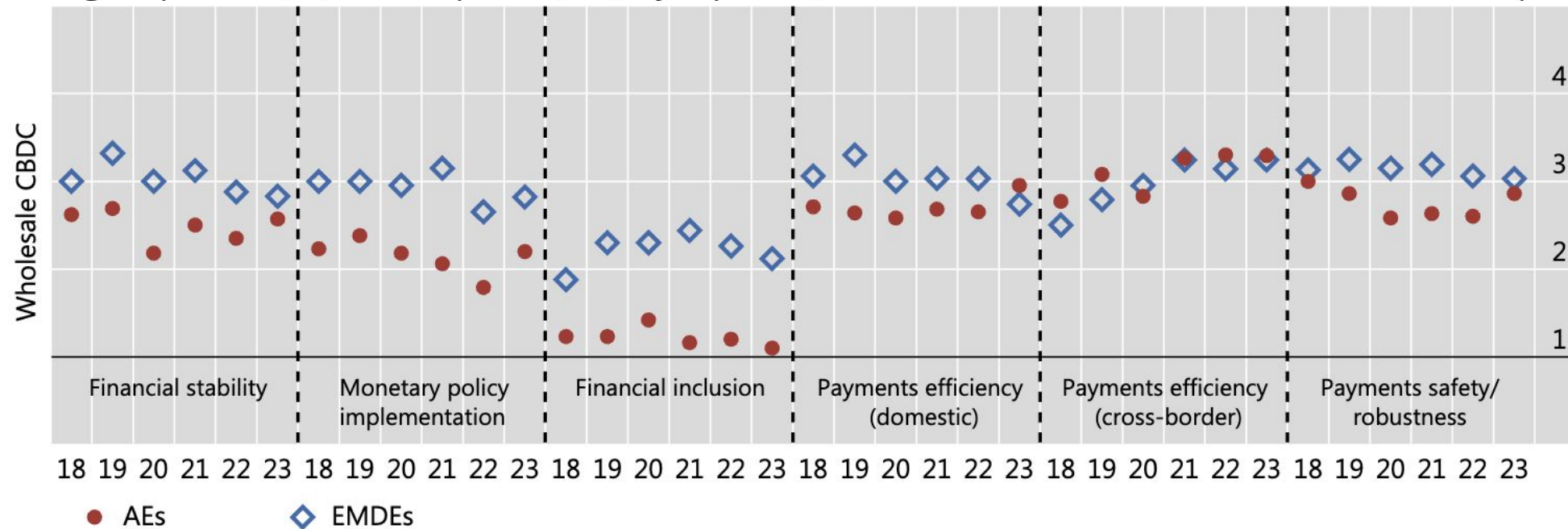


Motivations differ between advanced & emerging economies

Motivations for issuing a retail and wholesale CBDC

Average importance, 1 (not so important)–4 (very important)

Graph 5



CBDCs are a response to challenges of the financial system

Coherent response to contemporary economic events:

- **2011-2015:** As a Monetary Policy Tool: Addressing low inflation post-2008 crisis and the ineffectiveness of Quantitative Easing (QE)
- **2015-2019:** Adapting to Digitization and the Rise of Fintech, Cryptocurrencies, and Blockchain: Responding to the mid-2010s surge in cryptocurrency usage and industrial applications of blockchain
- **2019-2025:** Preservation of Financial Sovereignty: Mitigating challenges posed by cryptocurrencies, global stablecoins, and foreign CBDCs

Addressing other challenges:

- Declining use of cash in the economy
- Concerns about privacy in digital payments
- Potential for programmable money and its applications



The CBDC design space and options

1. **Nature:** CBDCs represent a central bank liability, either a direct obligation of the bank or designed through new legal structures. Unlike traditional central bank reserves, CBDCs can extend beyond interbank uses and reach the private sector.
2. **Availability:** CBDCs may be designed for different users: wholesale (banks, institutions), retail (households, individuals), or universal (including foreign participants). The availability of CBDCs affects financial inclusion and accessibility, possibly improving access to money for underserved groups.
3. **Provision:** CBDCs can be issued directly by central banks or through intermediaries like commercial banks. The structure impacts the central bank's role in money management and can influence financial system stability.
4. **Access:** Account-based CBDCs rely on identity verification, while token-based CBDCs act like cash, where ownership is linked to knowledge of a private key. The choice affects privacy, security, and usability of the system.
5. **Infrastructure:** CBDCs can be built using traditional banking systems or blockchain technology, with the latter offering potential benefits like programmability, but also presenting challenges in scalability and security.



International Review of Financial Analysis

Volume 91, January 2024, 103031



Central bank digital currencies: A critical review

Lambis Dionysopoulos , Miriam Marra , Andrew Urquhart

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The alternative options

1. **Nature – Reserve vs Non-Reserve:** CBDCs distinct from central bank reserves may offer greater flexibility, enabling broader use in the private sector, but they could introduce higher risks and be less stable compared to traditional reserves.
2. **Availability – Wholesale vs Retail vs Universal:** Wholesale CBDCs are limited to financial institutions, while retail CBDCs are available to the general public. Universal CBDCs, which are accessible to all, provide the most flexibility for achieving policy goals, such as enhancing financial inclusion. The wider the availability of a CBDC, the easier it is to adjust monetary policy.
3. **Access - Tokens vs Accounts:** Token-based CBDCs are favored for their cash-like privacy, but privacy concerns can arise from digital fingerprinting and regulatory compliance needs. Account-based CBDCs, linked to identity, offer stronger regulation but may compromise privacy.
4. **Infrastructure - DLT vs RTGS:** While DLT provides transparency and security but incurs high overhead and scalability issues. Traditional RTGS (Real-Time Gross Settlement) is preferred by banks for its scalability, efficiency, and familiarity, though it lacks the flexibility and programmability of DLT.
5. **Provision - Direct vs Indirect, Hybrid:** Direct CBDC issuance by central banks risks disintermediating commercial banks and increasing operational costs for central banks. Indirect or hybrid models, where private banks manage customer relations, help maintain the existing financial structure while involving central banks in oversight and regulation.

Important CBDC Components

- **Availability:** Wholesale, retail, or universal
- **Interest:** Ability to bear positive and negative interest
- **Convertibility and Nature of Liability:** At par with other monies (cash, deposits)

The above considerations are important as they facilitate new proactive and reactive capabilities for Central Banks. Those include:

- Wide availability of remunerated CBDC leads to direct implementation of monetary policy.
- Interest can vary depending on size of holdings or type of entity.
- Convertibility ensures transmission of rate adjustment and non-reserve nature flexibility.



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CBDC and financial disintermediation (1/2)

An attractive CBDC may cause financial instability due to its substitutability:

- Unsophisticated consumers may switch deposits for CBDC at the first sight of crisis (e.g., SVB)
- Despite existing tools enabling bank runs, CBDC's digital nature makes runs easier
- The literature studies impact on funding, rates, credit provision

The takeaway from academic literature is:

CBDCs can influence market dynamics and competition in the banking sector:

- Imperfectly competitive market: banks offer more deposits, reduce loan rates, and expand financial inclusion. Reduces monopoly profits of banks.
- Competitive market: banks pass costs to consumers, decreasing aggregate lending and investment.

CBDC and financial disintermediation (2/2)

There are several proposals **to mitigate** those negative impacts:

- Non-reserve, adjustable interest rate, no guaranteed convertibility, only issued against eligible securities.
- Counterpropose deposit insurance schemes.
- Lending of CBDC deposits to banks.
- Limiting CBDC holdings and interest rate tiers.

The overall goal is an arrangement that enables growth without disrupting the banking system.

Deposit tokens vs CBDCs vs stablecoins (1/2)

Deposit tokens are **digital representations of commercial bank deposits**, issued by regulated financial institutions and **fully backed by deposits held at the bank**. They are a middle ground between a retail CBDC and a stablecoin.

Deposit Tokens vs CBDCs:

- **Issuer:** Deposit tokens are issued by commercial banks, while CBDCs are issued directly by central banks.
- **Liability:** Deposit tokens represent a claim on a private bank's reserves, while CBDCs are direct claims on the central bank, offering greater safety but potentially altering traditional banking roles.

Deposit tokens vs CBDCs vs stablecoins (2/2)

Deposit Tokens vs Stablecoins:

- **Issuer:** Stablecoins are unregulated in certain jurisdictions and can be issued by any entity. Deposit tokens would be issued by commercial banks.
- **Reserves:** Deposit tokens are fully backed by bank deposits and regulated under existing banking laws. Stablecoins, especially those like USDT or USDC, are backed by a mix of assets (fiat, treasuries, etc.) and are often issued by non-bank entities, facing less stringent regulation.
- **Regulation:** Deposit tokens are subject to strict banking regulations, while stablecoins may operate under varying regulatory frameworks, leading to differences in transparency and risk.

Session: Tokenization and Stablecoins

5. Conclusions

Conclusions

- Tokenization enables the creation of on-chain representations for real-world assets, making them tradable in blockchain environments.
- It can offer significant benefits such as enhanced liquidity, fractional ownership, and improved transparency for traditionally illiquid assets.
- Despite its advantages, tokenization introduces challenges like reliance on custodians, centralization risks, and liquidity constraints in certain markets.
- The spectrum of tokenization ranges from off-chain managed assets to fully on-chain enforcement, with varying levels of blockchain integration.
- Stablecoins and tokenized assets continue to drive innovation, particularly in decentralized finance (DeFi) and new financial products.
- The future of tokenization may see greater regulatory scrutiny, interoperability improvements, and broader adoption across different asset classes.

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6. Further Reading

Further Reading

- [From ripples to waves: The transformational power of tokenizing assets](#)
- [What is Tokenization?](#)
- [BlackRock Launches Its First Tokenized Fund, BUIDL, on the Ethereum Network](#)
- [The dark side of tokenisation](#)
- [Deposit Tokens](#)
- [Crypto has designs on real estate](#)
- [ECB paves way for acceptance of DLT-based assets as eligible Eurosystem collateral](#)



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Questions?

Contact Us:

Twitter: @mscdigital

Course Support:

digitalcurrency@unic.ac.cy

IT & Live Session Support: dl.it@unic.ac.cy